



Engro Holdings (ENGROH) — Baby-Simple Research Note

A friendly walk-through of one big PSX company. Written like a brokerage research note... but in plain words.

Illustrative: Accumulate

PSX: ENGROH

Price ~ PKR 264.52

Education only · Not buy/sell advice

Please read: This is for learning. Numbers can change. It is *not* a buy or sell order from DividendFlow.pk. Always do your own homework (or ask a licensed advisor).



STAGE 1 • MEET THE COMPANY

Who is Engro Holdings?

ANIME GUIDE SAYS

"Think of Engro Holdings as a **big money backpack**. Inside the backpack are many smaller businesses. The backpack's stock code on PSX is **ENGROH**."

Engro Holdings is an **investment holding company**. That means it owns and steers other companies more than it "makes one product" itself.

Easy picture: Mom owns a shop group. One shop sells fertilizer. One makes plastic (PVC). One makes power. One owns phone towers. Mom's name on the stock market = Engro Holdings.

What sits in the backpack?

Fertilizer

Helps farms grow food crops.

Power & mining

Makes electricity / digs energy fuel.

Towers (new big move)

Owens phone tower sites (Deodar deal).

Polymer, terminals, trading

Chemicals, gas/chemical storage, trading.

Public company or private?

Brokerage research like this is almost always for **public / listed** companies — because you can buy the share on PSX and the company must publish reports. Private companies usually do *not* get a public Buy/Sell note.



STAGE 2 · THE BIG IDEA

Why do analysts care about ENGROH?

ANIME GUIDE SAYS

"Three simple reasons. One: cleaner ownership. Two: new tower cash machine. Three: headline profit can look scary — but 'core' profit (real day job) got stronger."

1. **Cleaner structure (2025):** Engro Corporation became a fully owned child company of Engro Holdings. Owners now keep more of the group's earnings (about 100% vs ~40% before).
2. **Towers bet:** They bought a large phone-tower set (~10,600 towers, Deodar). Goal = steady rent-like cash over years.
3. **Don't trust the scary headline alone:** In 1H 2026, total profit fell vs last year because last year had big one-time gains. Underneath, core profit for owners rose a lot (~79%).

Baby tip: When profit "falls" after a one-time gift last year, ask: "Did the real shop get weaker... or did the gift just not repeat?"



STAGE 3 • FOLLOW THE MONEY

Numbers in plain English

AI MARKET BUDDY SAYS

"I scan. You learn. Together we grow! Here are the key coins — without spreadsheet panic."

Thing	Simple meaning	Figure
Share price	What one share costs lately	~ PKR 264.52
Market cap	Price × all shares ≈ company sticker price	~ PKR 319 bn
FY 2025 profit (owners, core)	Profit after removing one-time thermal gain	~ PKR 29.1 bn
1H 2026 profit (owners)	First 6 months of 2026	PKR 18.6 bn
Cash dividend lately	Cash mailed to shareholders	Mostly paused — using buybacks instead

Where did 1H 2026 profit come from?

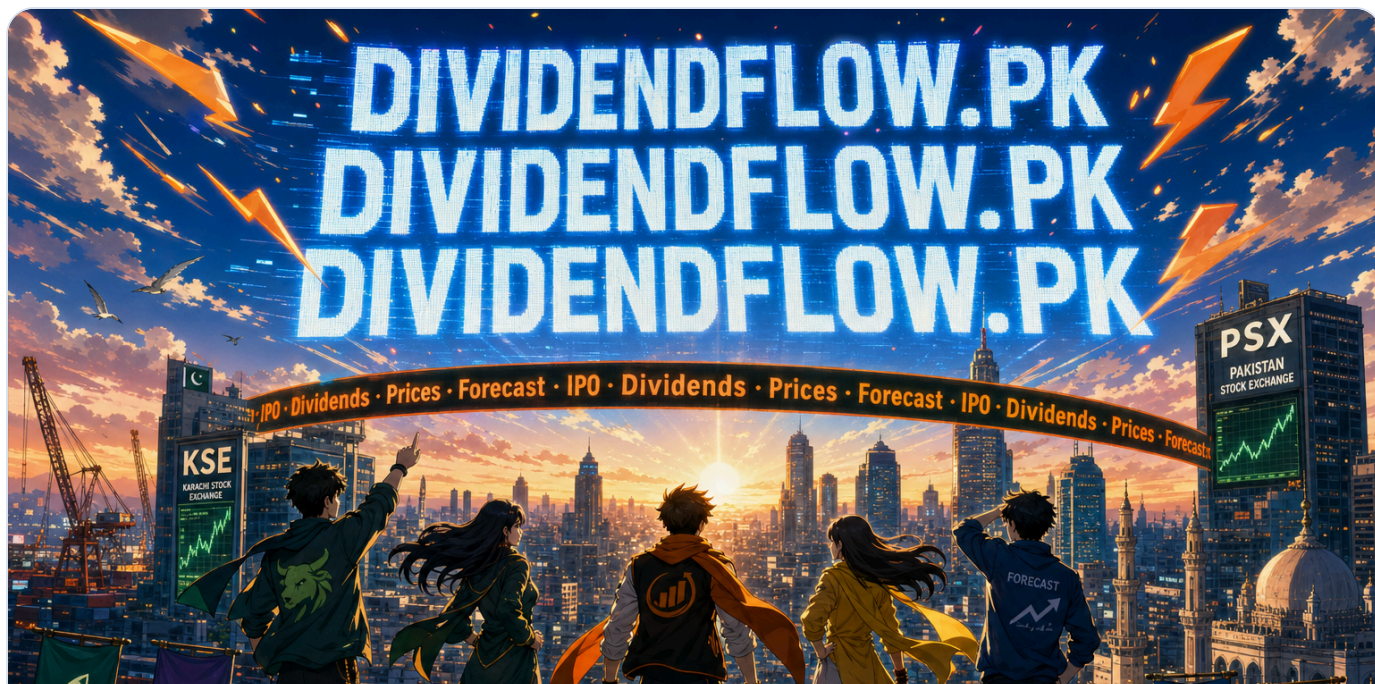
- Power & mining: about **PKR 16.6 bn** (strong helper)
- Fertilizer: about **PKR 7.1 bn**
- Towers / connectivity: about **PKR 3.9 bn**
- Polymer: about **PKR 1.6 bn** (was very hard in 2025)

Dividend vs buyback: Dividend = company sends you cash. Buyback = company buys its own shares from the market. Engro recently preferred buybacks while

funding towers. Same family idea: return value — different shape.

Rough valuation (learning toy, not truth)

If you take FY25 *core* owners' profit (~29 bn) and market cap (~319 bn), you get about **11×** earnings. That is a simple "price tag / yearly earning" toy — real brokers also build a sum-of-parts model.



STAGE 4 · RISKS & FINAL TIP

What can go wrong — and the simple takeaway

ANIME GUIDE SAYS

"Every hero story has boss fights. Know the bosses before you cheer the win."

Watch-outs

Fertilizer price wars · PVC cycle pain · Tower deal execution · Tax/policy changes · Confusing one-time accounting

Nice-to-see next

More tenants on towers · Fertilizer margins heal · Polymer delta stays healthy · Clearer cash-return plan later

Illustrative desk call: Accumulate

In simple words: many analysts might **like it on dips** if they believe the tower cash and core businesses will compound — but they would ignore noisy headline EPS and wait for execution proof. This is **education**, not an order to buy.

Track · Learn · Grow

Public companies mainly

Core profit > headline drama

Sources (for curious readers)

- PSX ENGROH page — dps.psx.com.pk/company/ENGROH
- Engro Holdings Directors' Report FY 2025 — PSX PDF 271307
- Engro Holdings Directors' Report H1 2026 — PSX PDF 281548
- Focus Pakistan coverage of 1H CY26 results

- [engro.com company overview & press releases](#)

© DividendFlow.pk · Educational research note · Anime art from DFPK theme pack · Not investment advice